15 Ch 15 – Startup Finance

Asked in last 3 papers: Sep 2025 Q1(c) succession strategy steps · Jan 2026 Q6(c) govt role / sustainable start-up environment · May 2026 Q2(c) true/false on VC staging, bootstrapping, angel investors (4m each, all theory).

1. The Basics of Startup Financing

→ **Startup financing** = initial infusion of money needed to turn an idea (by starting a business) into reality.

→ **Banks / traditional lenders not interested**: no security of assets yet, cash flows and repayment capacity cannot be forecast with certainty.

→ Left with: selling assets, borrowing against home, loans from **family and friends** → risk of bankruptcy and strained relationships; keep such loans **strictly business like**.

→ **Speed up initial operations** to the point where outside investors can see and feel the venture and see the risk the promoter has taken.

→ **Bootstrapped** business: start and build from personal finances or operating revenues of the new company; grows without investors dictating terms.

→ Reaching large investors needs a **strong business plan** and advice from experienced entrepreneurs and experts (possible future investors).

2. Some of the Innovative Ways to Finance a Startup

Banks are the least likely benefactors for startups → innovation = **maximising non-bank financing**.

→ **(i) Personal financing**: own savings; most investors will not put money in if the promoter has contributed nothing personally.

→ **(ii) Personal credit lines**: based on personal credit efforts (e.g. credit cards); banks give it only when the business has enough cash flow to repay.

→ **(iii) Family and friends**: believe in you; loan obligations always **in writing** (promissory note or otherwise).

→ **(iv) Peer-to-peer lending**: a group of people come together and lend to each other; small and ethnic business groups of similar faith/interest support each other.

→ **(v) Crowdfunding**: small amounts of capital from a **large number of individuals**, via social media and crowdfunding websites.

→ **(vi) Microloans**: small loans by individuals at **lower interest rates**; from a single individual or aggregated across many contributors.

→ **(vii) Vendor financing**: company lends to its customer to buy its own products; also manufacturers/distributors **defer payment until goods are sold** (e.g. 30 days extended to 45 or 60 days) — depends on creditworthiness and paying more money.

→ **(viii) Purchase order financing**: startup lacks cash to produce and deliver a large new order; PO financing company **advances funds directly to the supplier**, transaction completes and profit flows to the business.

→ **(ix) Factoring accounts receivables**: seller who sold on credit (e.g. 6 months) gets most (say **80–90%**) upfront from the factor; balance on due date after the factor collects from the customer, less its interest charges → funds day-to-day expenses.

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TYK TI (theory): "Explain some of the innovative sources for funding a start-up" → ICAI answer: refer paragraph 2 (the nine sources above).

3. Pitch Presentation

Pitch presentation = short and brief presentation (**not more than 20 minutes**) to investors on the prospects of the company and why they should invest. **Pitch deck** = brief PowerPoint giving a quick overview of the business plan to convince investors. Face-to-face or online, to potential investors, customers, partners and co-founders. Points to keep in mind:

- → **(i) Introduction**: who are you, what are you doing — keep it short; most interesting facts and major milestones achieved.
- → **(ii) Team**: people behind the scenes; investors invest in the team, not only the idea; promoter's background and its relation to the company; past results if the team worked together.
- → **(iii) Problem**: the problem the startup will solve and convince that the product/service solves it. SM example: **Facebook (2004) vs Orkut** — on Facebook a profile is visible only if the person adds you (privacy), which made it an instant hit.
- → **(iv) Solution**: how the company plans to solve the problem. SM example: **Flipkart (2007)** — cash on delivery (credit card payment rare) and its own supply chain system for timely delivery → raised large capital.
- → **(v) Marketing/Sales**: market size, target customer profiles, how customers will be attracted; if already selling, growth and future revenue forecasts.
- → **(vi) Projections or Milestones**: educated guess where no long financial history; projected statements show where the business is heading (profit or loss). Three documents:
  - → **Income statement**: revenue generated, cost to generate and support it, paid to employees, rent. **Monthly** in year 1, **quarterly** in year 2, **annual** thereafter.
  - → **Cash flow statement**: cash in and cash used; per period shows **cash burn or cash generated** and closing cash balance.
  - → **Balance sheet** (typically annual): assets, liabilities, equity — cash in bank, owed to suppliers, money invested in the company.
- → **(vii) Competition**: every business has competition even if new/unique; show how products differ; if any competitor was acquired, give details (name, acquisition price etc.).
- → **(viii) Business Model**: core aspects — purpose, business process, target customers, offerings, strategies, infrastructure, organisational structures, sourcing, trading practices, operational processes and policies incl. culture. (Investopedia, as quoted in SM: the way a company generates revenue and makes a profit; compared using **gross profit = revenue − COGS**.) Pitch should show the **revenue streams with timeline**, pricing vs competitors, **cost of acquisition**, **lifetime value of the customer** and customer retention strategy.
- → **(ix) Financing**: money already raised, who invested, how used; if none, work done with minimum funding; investors like promoters who invested their own money; state how much is to be raised and intended use.

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SM example (business model): Co A and Co B rent movies; revenue ₹ 5 crore, COGS ₹ 4 crore → GP ₹ 1 crore (20%). Co A moves online: revenue still ₹ 5 crore, COGS ₹ 2 crore (lower storage and distribution) → GP margin **20%** → **60%**; A has an additional **40%** margin to play with.

TYK T2 (theory): "What do you mean by Pitch Presentation in context of Start-up Business?" → ICAI answer: refer paragraph 3.

Note (app-written): SM page 15.6 prints "Managers at company A have an additional 40% more in margin … than managers at company A. Managers at company A have little room for error" — from the figures the comparison is A versus B, and the "little room for error" line fits company B (20% margin).

4. Concept of Unicorn

Unicorn = privately held start-up that has achieved a valuation of **US$ 1 billion**. Term coined by venture capitalist **Aileen Lee in 2013**; mythical animal = statistical rarity of successful ventures. Features:

→ (i) A **privately held** start-up.

→ (ii) Valuation reaches **US$ 1 billion**.

→ (iii) Emphasis on the **rarity of success**.

→ (iv) Other common features: **new ideas, disruptive innovation, consumer focus, high on technology**.

→ Valuation slips below US$ 1 billion → **loses Unicorn status**; can be a Unicorn at one time and not at another.

→ **InMobi** (ad-tech, founded 2007): India's **first Unicorn, Sept 2011** — SoftBank invested US$ 200 million, valuing it over US$ 1 billion (four years). **Udaan** (B2B e-commerce, 2018): fastest, in just over two years.

→ SM year list (selected): 2011 InMobi; 2012 Flipkart; 2013 Mu Sigma; 2014 Ola, Snapdeal; 2015 Paytm, Quikr, Zomato; 2016 Shopclues, Hike; 2017 ReNew; 2018 BillDesk, Byju's, Oyo, Swiggy, Udaan and others; 2019 onwards many more (2021 the largest list).

→ India = **3rd largest** startup ecosystem (after US and China), over **59,000 DPIIT-recognised** startups; as of 3 Oct 2023, **111 unicorns**, combined valuation **US$ 349.67 billion** (InvestIndia.gov.in).

→ Next milestone: **Decacorn** = valuation of more than **US$ 10 billion**.

5. Modes of Financing for Startups — 5.1 Sources of financing

5.1.1 Bootstrapping

Asked: May 2026 Q2(c) 4m

Bootstrapping = start and build a company from **personal finances** or **operating revenues** of the new company. Logic: more money at inception → complacency and wasteful spending (marketing, offices, equipment); own savings → cautious approach, curbs waste, keeps promoter on toes. Methods:

→ **(a) Trade credit**: suppliers reluctant to new businesses (want cash/credit card). Way out: **well-crafted financial plan**, visit supplier (owner if small, **CFO** if big firm), communication skills, reference of someone known to the supplier. May get **half on credit**, balance on delivery. Trick: get goods shipped and **sell before paying**. Reduces working capital needed, especially in **retail**.

→ **(b) Factoring**: receivables **sold to a commercial finance company**; factor collects and does the paperwork; can be on a **non-notification basis** (customers not told). Merits: cuts receivable-maintenance costs (bookkeeping, collections, credit verification) — often cheaper than the factor's fee; **frees money tied in receivables**, esp. sales to businesses/government with long payment delays.

→ **(c) Leasing**: lease equipment instead of buying → lower capital cost, lessee claims tax benefit. SM figures: photocopier at **₹ 5,000 per month** vs ₹ 1,00,000 or more to buy; automobile/van to avoid ₹ 5,00,000 or more. **Lessor**: depreciation tax benefit, possible capital appreciation, profit on lease. **Lessee**: smaller payments, ability to **walk away** at end of lease term, tax benefit on lease rentals.

S.1.2 Angel Investors

Asked: May 2026 Q2(c) 4m

→ Context: India ranks low on entrepreneurship, innovation and ease of doing business — outdated draconian rules, red tapism, time-consuming procedures, lack of general support; changing in recent times.

→ Invest in small startups or entrepreneurs; often among the entrepreneur's **family and friends**; **one-time** investment or **ongoing injection** through difficult early stages.

→ **More favourable terms** than other lenders — invest in the **entrepreneur** rather than the viability of the business; focus on helping first steps, not possible profit → different from VCs.

→ Also called **informal investors, angel funders, private investors, seed investors, business angels**: affluent individuals; capital in exchange for **ownership equity or convertible debt**; some via crowdfunding platforms or angel networks.

→ Use **their own money** (VCs manage **pooled money** in a strategically managed fund). Vehicle may be an LLC, business, trust or investment fund.

→ Startup fails early → angel **loses investment completely**; so professional angels look for a defined **exit strategy**, acquisitions or IPOs.

S.1.3 Venture Capital Fund; S.1.3.1 Venture Capitalists generally

VC Fund = investment vehicle managing funds of investors seeking to invest in startups and businesses with **exceptional growth potential**. **Venture capital** = money provided by professionals who, alongside management, invest in young, rapidly growing companies that can become significant economic contributors. VCs generally:

→ **Finance** new and rapidly growing companies.

→ **Purchase equity** securities.

→ Assist in **development of new products** or services.

→ **Add value** through active participation.

S.1.3.2 Characteristics of Venture Capital Financing

→ **(i) Long time horizon**: minimum **3 years**, maximum **10 years**.

→ **(ii) Lack of liquidity**: less liquidity on the equity it gets → adds an **illiquidity premium** in price and required return.

→ **(iii) High risk**: high risk, high return; high risk does not eliminate an investment choice.

→ **(iv) Equity participation**: mostly equity → participates in management, helps growth; with a **Board seat** supervises many board decisions.

S.1.3.3 Advantages of bringing VC in the company

→ Injects **long-term equity finance** → solid capital base for future growth.

→ VC is a **business partner**, sharing risks and rewards; rewarded with business success and capital gain.

→ **Practical advice and assistance** from experience with similar companies.

→ **Network of contacts** that adds value.

→ May provide **additional rounds of funding** to finance growth.

→ Experienced in preparing a company for **IPO** (Indian or overseas exchange such as NASDAQ).

→ Can facilitate a **trade sale**.

5.1.3.4 Stages of funding for VC

Asked: May 2026 Q2(c) 4m

1. **Seed Money**: low level financing to prove a new idea.
2. **Start-up**: early-stage firms needing funds for marketing and product development.
3. **First-Round**: early sales and manufacturing funds.
4. **Second-Round**: working capital for early stage companies selling product but not yet in profit.
5. **Third Round (Mezzanine financing)**: expansion money for a newly profitable company.
6. **Fourth-Round (Bridge financing)**: finances the "going public" process.

Indicative risk matrix (SM) — risk falls as the stage advances:

Stage	Funds locked (years)	Risk perception	Activity financed
Seed Money	7–10	Extreme	Concept/idea or R&D for product development; low level of financing
Start Up	5–9	Very High	Initialising prototype operations or developing products and marketing
First Stage	3–7	High	Started commercial production and marketing
Second Stage	3–5	Sufficiently high	Expanding market, growing WC needs, not earning profit
Third Stage	1–3	Medium	Market expansion, acquisition, product development for a profit-making company (Mezzanine)
Fourth Stage	1–3	Low	Facilitating public issue i.e. going public (Bridge)

5.2 VC Investment Process

1. **Deal Origination**: directly or through intermediaries (mainly **practising CAs**). VC tells intermediary its **sector, stage of business, promoter and turnover focus**. Company gives a detailed business plan (business model, financial plan, exit plan) = **Investment Memorandum (IM)**, with a tentative valuation.
2. **Screening**: by a committee of senior VC people; selects company for further processing.
3. **Due Diligence**: verifies veracity of documents; usually by **external renowned consultants**; fee generally paid by VC, may be **shared** between investor and investee.
4. **Deal Structuring**: structured so **both parties win**; **convertible structure** so promoter retains right to buy back shares; **tag-along clause** — promoter must sell part of stake along with the VC to facilitate exit.
5. **Post Investment Activity**: VC **nominee on board**; company keeps strong MIS, budgeting, corporate governance and VC covenants; reports milestones and explains misses; VC ensures **professional management**.
6. **Exit plan** (spelt out at investment): (a) **sell to third party(ies)** — IPO or private placement to other VCs; (b) **promoter buy-back** at a pre-agreed rate (generally **IRR of 18% to 25%**) if no IPO/third-party sale; often promoter gets **first right of refusal**.

6. Venture Capital Funds in India — 6.1 Evolution

- **1970s**: GoI committee on inadequate funding to entrepreneurs/start-ups; ten years later first all-India VC funding by **IDBI, ICICI and IFCI**.
- **Nov 1988**: institutionalisation; guidelines under **CCI (Controller of Capital Issues)** — narrow, restrictive (innovative technology by first-generation entrepreneurs) → VC risky and unattractive.
- **World Bank** VC awareness seminar → TDICICI, GVFL, Canbank, Pathfinder. CCI abolished; **1995** foreign finance companies allowed.
- **1996**: new regulation; loopholes favoured foreign players, no incentive to domestic HNIs.
- **1997**: IT revolution boosted VC (IT and telecom). After the **dotcom bust**, survivors shifted to **later stage financing**, leaving seed/start-up to a few daring funds.
- SM diagrams: **formation** of VC fund — Trust, Company, Limited Liability Partnership; **investors** in VC funds — financial institutions, banks, pension funds, corporations, high networth individuals.

6.2 Structure of Venture Capital Fund in India

Three structures: one domestic, two offshore.

Structure	How it works
(a) Domestic fund	(i) Domestic vehicle pooling investor funds + (ii) separate **investment adviser** as asset manager. Pooling vehicle: trust or company (India does not recognise a limited partnership); **trust prevails** for operational flexibility.
(b) Offshore structure	Offshore vehicle (LLC or LP outside India) invests **directly** into Indian portfolio companies; assets managed by an **offshore manager**; Indian investment advisor does due diligence and identifies deals.
(b) Unified structure	Used when **domestic investors** also participate: overseas investors pool in an offshore vehicle that invests in a **locally managed trust**; domestic investors contribute directly to the trust, which makes the local investments.

7. Startup India Initiative

Asked: Jan 2026 Q6(c) 4m

Launched by GoI on **16 January 2016**. Per **GSR Notification 127(E) dated 19 Feb 2019**, an entity is a Startup if:

- (i) Up to **10 years** from incorporation/registration, as a **private limited company** (Companies Act, 2013), **registered partnership firm** (s. 59, Partnership Act, 1932) or **LLP** (LLP Act, 2008) in India.
- (ii) **Turnover** for any financial year since incorporation/registration has not exceeded **₹ 100 crore**.
- (iii) Working towards **innovation, development or improvement** of products/processes/services, or a **scalable business model** with high potential of employment generation or wealth creation.
- Proviso: entity formed by **splitting up or reconstruction** of an existing business is **not** a Startup.

SM box (startupindia.gov.in) words the third test as innovation, development, deployment or commercialisation of new products, processes or services driven by technology or intellectual property.

Government support (SM):

- **Startup India and StandUp India** (2016): widespread awareness, boost to entrepreneurial mindset.
- SIDBI-run **Electronic Development Fund (EDF)**: Government became a **Limited Partner** in a fund for the first time.
- Easy finance: **Mudra Scheme**; tax benefits: **100% tax holiday u/s 80-IAC**; **exemption from angel taxation**.
- **Startup India Seed Fund Scheme (SISFS)**, DPIIT, Jan 2021: outlay **₹ 945 crore** for proof of concept, prototype, product trials, market entry, commercialisation; **~3,600 entrepreneurs through 300 incubators** in next 4 years. Eligibility: DPIIT-recognised, incorporated **not more than 2 years** ago at application, idea with market fit, viable commercialisation and scope of scaling. Seed fund up to **₹ 50 lakh**. Priority sectors: social impact, waste management, water management, financial inclusion, education, agriculture, food processing, biotechnology, healthcare, energy, mobility, defence, space, railways, oil and gas, textiles.

Other reasons India is a sustainable environment for start-ups:

→ **(i) Pool of talent**: millions graduating from colleges and B-schools start own ventures (earlier went only to big companies).

→ **(ii) Cost effective workforce**: young country, over **10 million** join the workforce every year → lower cost of setting up and running a business.

→ **(iii) Increasing use of internet**: affordable telecom; reached rural areas; **second-largest internet user base** after China.

→ **(iv) Technology**: quick, simple, efficient processes; easy data storage; startups in **AI and blockchain**.

→ **(v) Variety of funding options**: angel investors, VCs, seed funding investors; easing of **FDI norms**, most sectors on **100% automatic route**.

8. Succession Planning in Business — 8.1 Meaning

→ Process of **identifying critical positions** and developing **action plans** for individuals to assume them; identifies future need of people with skills and potential for leadership roles.

→ Important for **family owned businesses** (often managed by a non-family leader though family owns).

→ Holistic view of current and future goals → **right people for the right jobs** today and in future.

→ Can provide a **liquidity event** — transfer of ownership in a going concern to rising employees.

→ Prepares the business to promote and advance **all employees**, not only management/executives.

8.2 Why is there a need for succession planning?

→ **Risk mitigation**: if leader quits, search can take **six–nine months**; leaderless organisation → disruption, uncertainty, conflict, endangered competitiveness.

→ **Cause removal**: leader culpable of gross negligence, fraud, wilful misconduct or material breach and barred by court, arbitral tribunal, management, stakeholders or other agency.

→ **Talent pipeline**: keeps employees motivated with visible career paths; retains and leverages the company's **knowledge bank**.

→ **Conflict resolution mechanism**: promotes open and transparent communication and settlement of conflicts.

→ **Aligning**: in family businesses aligns with **culture, vision, direction and values**.

8.3 Business succession strategy

Asked: Sep 2025 Q1(c) 4m

1. **Evaluate key leadership positions**: risk or impact assessment to find critical roles — those that transform the business or set strategic direction.
2. **Map competencies required** for those positions: qualifications, behavioural and technical competencies.
3. **Identify competencies of current workforce**: internal options that can deliver Step 2, training and development needs, and whether to **search outside**.
4. **Bridge leader**: in family businesses, an **outsider** appointed to develop the business and prepare **young family members** for leadership.

8.4 Challenges (in context of Start-ups)

→ **(1) Founder mindset ≠ corporate mindset**: puts off seasoned corporate leaders from joining even matured start-ups.

→ **(2) Premature for startups**: early growth stage; too many processes slow growth.

→ **(3) Founders are the face of startups**: hard to imagine the startup without the founder who initiated and executed the idea.

Test Your Knowledge

→ **TYK T1**: innovative sources for funding a start-up → paragraph 2 (see section 2).

→ **TYK T2**: Pitch Presentation in context of start-up business → paragraph 3 (see section 3).

→ No illustrations or practical TYK questions in this chapter.

Exam steps (4m theory): 1 → name the SM heading (e.g. "Characteristics of VC financing") → 2 → write the SM list items in SM order, key term first → 3 → one line of SM logic per item; for true/false, state the SM fact that decides it (e.g. seed stage = extreme risk, 7–10 years; angels use own money; bootstrapping = personal finances/operating revenues).

Lists to have ready: 9 innovative sources · 9 pitch points · 4 unicorn features · 3 bootstrapping methods · 4 VC "generally" · 4 VC characteristics · 7 VC advantages · 6 VC stages · 6 investment-process steps · 3 fund structures · 3 startup tests + proviso · 5 sustainability reasons · 5 needs · 4 strategy steps · 3 challenges.

13 Startup Finance — what ICAI asked (Sep 2025, Jan 2026, May 2026)

12 marks *set across the last three attempts (3.4% of marks set). Question labels and marks are ICAI's; the one-line concept descriptions are app-written.*

Attempt	Question	Marks	Concept tested
Sep 2025	Q1(c)	4	Steps in a business succession strategy (evaluate key positions, map competencies, identify workforce competencies, bridge leader) (Theory)
Jan 2026	Q6(c) [either]	4	Role of government in creating a sustainable environment for start-ups in India (Theory)
May 2026	Q2(c)	4	True/False with justification on start-up finance: valuation of early-stage firms, venture capital staging, bootstrapping, angel investors (Theory)

What follows, exactly as ICAI printed it in the AFM study material: (1) Test Your Knowledge theory questions, with the SM paragraph ICAI's answer points to; (2) every SM illustration with ICAI's solution, grouped by SM section; (3) Test Your Knowledge practical questions with ICAI's solutions.

Theory questions (SM Test Your Knowledge) with ICAI answers

Theory Q1

1. Explain some of the innovative sources for funding a start-up.

ICAI answer: "Please refer paragraph 2" – SM paragraph 2 reproduced

2. SOME OF THE INNOVATIVE WAYS TO FINANCE A STARTUP

Every startup needs access to capital, whether for funding product development, acquiring machinery and inventory or paying salaries to its employee. Most entrepreneurs think first of bank loans as the primary source of money, only to find out that banks are really the least likely benefactors for startups. So, innovative measures include maximizing non-bank financing.

Here are some of the sources for funding a startup:

(i) **Personal financing:** It may not seem to be innovative but you may be surprised to note that most budding entrepreneurs never thought of saving any money to start a business. This is important because most of the investors will not put money into a deal if they see that you have not contributed any money from your personal sources.

(ii) **Personal credit lines:** One qualifies for personal credit line based on one's personal credit efforts. Credit cards are a good example of this. However, banks are very cautious while granting personal credit lines. They provide this facility only when the business has enough cash flow to repay the line of credit.

(iii) Family and friends: These are the people who generally believe in you, without even thinking that your idea works or not. However, the loan obligations to friends and relatives should always be in writing as a promissory note or otherwise.

(iv) Peer-to-peer lending: In this process a group of people come together and lend money to each other. Peer to peer lending has been there for many years. Many small and ethnic business groups having similar faith or interest generally support each other in their start up endeavors.

(v) Crowdfunding: Crowdfunding is the use of small amounts of capital from a large number of individuals to finance a new business initiative. Crowdfunding makes use of the easy accessibility of vast networks of people through social media and crowdfunding websites to bring investors and entrepreneurs together.

(vi) Microloans: Microloans are small loans that are given by individuals at lower interest rates to new business ventures. These loans can be issued by a single individual or aggregated across a number of individuals who each contribute a portion of the total amount.

(vii) Vendor financing: Vendor financing is the form of financing in which a company lends money to one of its customers so that he can buy products from the company itself. Vendor financing also takes place when many manufacturers and distributors are convinced to defer payment until the goods are sold. This means extending the payment terms to a longer period for e.g. 30 days payment period can be extended to 45 days or 60 days. However, this depends on one's credit worthiness and payment of more money.

(viii) Purchase order financing: The most common scaling problem faced by startups is the inability to find a large new order. The reason is that they don't have the necessary cash to produce and deliver the product. Purchase order financing companies often advance the required funds directly to the supplier. This allows the completion of transaction and profit flows up to the new business.

(ix) Factoring accounts receivables: In this method, a facility is given to the seller who has sold the good on credit to fund his receivables till the amount is fully received. So, when the goods are sold on credit, and the credit period (i.e. the date upto which payment shall be made) is for example 6 months, the factoring company will pay most (say 80-90%) of the outstanding amount upfront. The balance amount will be paid on due date once the factoring company has received the full amount from customer after deducting it's interest charges. In this way, a startup can raise funds to pay it's day-to-day expenses.

ICAI answer: "Please refer paragraph 3" – SM paragraph 3 reproduced

3. PITCH PRESENTATION

Pitch presentation is a short and brief presentation (not more than 20 minutes) to investors explaining about the prospects of the company and why they should invest into the startup business. So, pitch deck presentation is a brief presentation using PowerPoint to provide a quick overview of business plan and convincing the investors to put some money into the business. A pitch presentation can be made either during face-to-face meetings or online meetings with potential investors, customers, partners, and co-founders. Here are some points to be kept in mind while preparing a pitch presentation:

(i) Introduction: To start with, first step is to give a brief account of yourself i.e. who are you? What are you doing? But care should be taken to make it short. Also, use this opportunity to get your investors interested in your company. You can also mention the most interesting facts about your business, as well as any major milestones you may have achieved.

(ii) Team: The next step is to introduce the audience to the people behind the scenes. The reason is that the investors will want to know the people who are going to make the product or service successful. Moreover, the investors are not only putting money towards the idea but they are also investing in the team. Also, an attempt should be made to include the background of the promoter, and how it relates to the new company. Moreover, in case the team has worked together in the past then highlight significant results achieved by the team members.

(iii) Problem: Further, the promoter should be able to explain the problem that the startup is going to solve and solutions emerging from it. It is important to convince the investors that the newly introduced product or service will solve the problem.

For instance, when Facebook was launched in 2004, it added some new features which made it stand out in comparison to Orkut which was there for some time. Customers have no privacy while using Orkut. However, in Facebook, you can view a person's profile only if he adds you to his list. This simple yet effective advantage that Facebook has over Orkut made it an extremely popular social networking site. It enabled Facebook to become an instant hit.

(iv) Solution: It is very important to describe in the pitch presentation as to how the company is planning to solve the problem. For instance, when Flipkart first started its business in 2007, it brought the concept of e-commerce in India but when they started, payment through credit card was rare. So, they introduced the system of cash on delivery which was later followed by other e-commerce companies in India. The second problem was the entire supply chain system. Delivering goods on time is one of the most important factors that determines the success of an e-commerce company. Flipkart addressed this issue by launching their own supply chain management system to deliver

orders in a timely manner. These innovative techniques used by Flipkart enabled them to raise a large amount of capital from the investors.

(v) Marketing/Sales: This is a very important part where investors will be deeply interested. The market size of the product must be communicated to the investors. This can include profiles of target customers, but one should be prepared to answer questions about how the promoter is planning to attract the customers. If a business is already selling goods, the promoter can also brief the investors about the growth and future revenue forecasts.

(vi) Projections or Milestones: It is true that it is difficult to make financial projections for a startup concern. If an organization doesn't have a long financial history, an educated guess can be made. Projected financial statements can be prepared which gives potential investors a brief idea about where is the business heading. It tells us that whether the business will be making profit or loss.

Financial projections include three basic documents that make up a business's financial statements.

- **Income statement:** This estimate how much money the business will generate by projecting income and expenses. It will show:
  - ❖ How much revenue did the business generate?
  - ❖ How much did it cost to generate and support that revenue?
  - ❖ How much did the business pay its employees?
  - ❖ How much did it pay towards rent?

  For your first year in business, you'll want to create a monthly income statement. For the second year, quarterly statements will suffice. For the following years, you'll just need an annual income statement.
- **Cash flow statement:** A projected cash flow statement will depict how much cash will be coming into the business and how much cash will be utilized. At the end of each period (e.g. monthly, quarterly, annually), one can tally it all up to show either the cash burn or the cash generated during the period and the cash balance remaining at the end of the period.
- **Balance sheet:** The balance sheet shows the business's overall finances including assets, liabilities and equity. Typically, one will create an annual balance sheet for one's financial projections. It shows:
  - ❖ How much cash is in the bank?
  - ❖ How much money does the company owe to suppliers?

- ❖ How much money has been invested in the company?

(vii) Competition: Every business organization has competition even if the product or service offered is new and unique. It is necessary to highlight in the pitch presentation as to how the products or services are different from their competitors. If any of the competitors have been acquired, their complete details like name of the organization, acquisition prices etc. should also be highlighted.

(viii) Business Model: The term business model is a wide term denoting core aspects of a business including purpose, business process, target customers, offerings, strategies, infrastructure, organizational structures, sourcing, trading practices, operational processes and policies including culture.

Further, as per Investopedia, a business model is the way in which a company generates revenue and makes a profit from its operations. Analysts use the term gross profit as a way to compare the efficiency and effectiveness of a firm's business model. Gross profit is calculated by subtracting the cost of goods sold from revenues.

A business model can be illustrated with the help of an example. There are two companies – company A and company B. Both the companies are engaged in the business of renting movies. Prior to the advent of internet both the companies rent movies physically. Both the companies made ₹ 5 crore as revenues. Cost of goods sold was ₹ 4 crore. So, the companies made ₹ 1 crore as gross profit. After the introduction of internet, company A started to offer movies online instead of renting or selling it physically. This change affected the business model of company A positively. Revenue is still ₹ 5 crore but the significant part is that cost of goods sold is now ₹ 2 crore only. This is because online sales lead to significant reduction of storage and distribution costs. So, the gross profit margin increases from 20% to 60%.

Therefore, Company A isn't making more in sales, but it figured out a way to revolutionize its business model, which greatly reduces costs. Managers at company A have an additional 40% more in margin to play with than managers at company A. Managers at company A have little room for error and must tread carefully.

Every investor wants to get his money back, so it's important to tell them in a pitch presentation as to how the startup is planning to generate revenue. It is better to show the investors a list of the various revenue streams for a business model and the timeline for each of them. Further, the pitch should clarify how the startup in planning to price the product and how does it compare to what the competitors charge for the same or similar product. It is also beneficial to discuss the cost of acquisition, lifetime value of the customer and what strategy the startup is planning to use to retain the customer.

(ix) Financing: If a startup has raised money, it is preferable to talk about how much money has already been raised, who invested money and how that money has been used. If no money has been raised till date, an explanation can be made regarding how much work has been accomplished with the help of minimum funding that the company is managed to raise.

It is true that investors like to see entrepreneurs who have invested their own money. If a promoter is pitching to raise capital, he should list out how much he is looking to raise and how he intends to use the funds.

Theory Q2

2. What do you mean by Pitch Presentation in context of Start-up Business?

ICAI answer

2. Please refer paragraph 3.

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